**FIDELIS INSURANCE BERMUDA LIMITED**

**Consolidated Financial Statements**
For the Years Ended December 31, 2024 and 2023

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**INDEPENDENT AUDITORS' REPORT**

**To the Shareholder and Board of Directors of Fidelis Insurance Bermuda Limited**

**Opinion**

We have audited the consolidated financial statements of Fidelis Insurance Bermuda Limited and its subsidiaries (the "Company"), which comprise the consolidated balance sheets as of December 31, 2024 and 2023, and the related consolidated statements of income and comprehensive income, changes in shareholder's equity, and cash flows for the years then ended, and the related notes to the consolidated financial statements.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the financial position of the Company as of December 31, 2024 and 2023, and the results of their operations and its cash flows for the years then ended in accordance with U.S. generally accepted accounting principles.

**Basis for opinion**

We conducted our audits in accordance with auditing standards generally accepted in the United States of America ("GAAS"). Our responsibilities under those standards are further described in the *Auditors' responsibilities for the audit of the consolidated financial statements* section of our report. We are required to be independent of the Company and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

**Responsibilities of management for the consolidated financial statements**

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with U.S. generally accepted accounting principles, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for one year after the date that the consolidated financial statements are available to be issued.

**Auditors' responsibilities for the audit of the consolidated financial statements**

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the consolidated financial statements.

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In performing an audit in accordance with GAAS, we:

- Exercise professional judgment and maintain professional scepticism throughout the audit.
- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the consolidated financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the consolidated financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control related matters that we identified during the audit.

**Required supplementary information**

U.S. generally accepted accounting principles require that certain disclosures related to short-duration contracts labeled as Unaudited in Note 7 be presented to supplement the basic consolidated financial statements. Such information is the responsibility of management and, although not a part of the basic consolidated financial statements, is required by the Financial Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic consolidated financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic consolidated financial statements, and other knowledge we obtained during our audit of the basic consolidated financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

KPMG Audit Limited

Chartered Professional Accountants
Hamilton, Bermuda
April 29, 2025

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**FIDELIS INSURANCE BERMUDA LIMITED**
**Consolidated Balance Sheets**
**At December 31, 2024 and 2023**
**(Expressed in millions of U.S. dollars, except for share and per share amounts)**

| | December 31, 2024 | December 31, 2023 |
|---|---|---|
| **Assets** | | |
| Fixed maturity securities, available-for-sale, at fair value (amortized cost: $2,364.6, 2023: $2,494.5 (net of allowance for credit losses of $2.6, 2023: $0.6)) | $ 2,371.4 | $ 2,477.3 |
| Short-term investments, available-for-sale, at fair value (amortized cost: $154.4, 2023: $42.1 (net of allowance for credit losses of $nil, 2023: $nil)) | 154.5 | 42.1 |
| Other investments, at fair value (amortized cost: $200.1, 2023: $50.8) | 201.0 | 47.5 |
| **Total investments** | **2,726.9** | **2,566.9** |
| Cash and cash equivalents | 426.5 | 428.2 |
| Restricted cash and cash equivalents | 153.9 | 139.6 |
| Accrued investment income | 23.7 | 20.3 |
| Premiums and other receivables (net of allowance for credit losses of $3.2, 2023: $5.2) | 1,592.1 | 1,074.5 |
| Amounts due from The Fidelis Partnership (net of allowance for credit losses of $nil, 2023: $nil) | 68.6 | 50.5 |
| Deferred reinsurance premiums | 689.5 | 490.6 |
| Reinsurance balances recoverable on paid losses (net of allowance for credit losses of $0.1, 2023: $nil) | 87.5 | 74.9 |
| Reinsurance balances recoverable on reserves for losses and loss adjustment expenses (net of allowance for credit losses of $0.7, 2023: $1.1) | 716.8 | 695.9 |
| Deferred policy acquisition costs (includes The Fidelis Partnership deferred commissions $84.0, 2023: $66.9) | 654.2 | 562.6 |
| Amounts due from affiliates (net of allowance for credit losses of $nil, 2023: $nil) | 116.0 | 116.8 |
| Other assets | 117.4 | 111.2 |
| **Total assets** | **$ 7,373.1** | **$ 6,332.0** |
| **Liabilities and shareholder's equity** | | |
| **Liabilities** | | |
| Reserves for losses and loss adjustment expenses | $ 2,192.1 | $ 1,701.8 |
| Unearned premiums | 2,256.3 | 1,916.1 |
| Reinsurance balances payable | 759.8 | 548.8 |
| Amounts due to The Fidelis Partnership | 175.5 | 148.2 |
| Amounts due to affiliates | 100.3 | 75.1 |
| Other liabilities | 88.4 | 25.8 |
| **Total liabilities** | **5,572.4** | **4,415.8** |
| ***Commitments and contingencies*** | | |
| **Shareholder's equity** | | |
| Common shares, $1 par value, 1,000,000 authorized, issued and fully paid | 1.0 | 1.0 |
| Additional paid-in capital | 1,523.7 | 1,523.7 |
| Accumulated other comprehensive income/(loss) | 6.3 | (17.6) |
| Retained earnings | 269.7 | 409.1 |
| **Total shareholder's equity** | **1,800.7** | **1,916.2** |
| **Total liabilities and shareholder's equity** | **$ 7,373.1** | **$ 6,332.0** |

*See accompanying notes to the consolidated financial statements*

**FIDELIS INSURANCE BERMUDA LIMITED**
**Consolidated Statements of Income and Comprehensive Income**
**For the years ended December 31, 2024 and 2023**
**(Expressed in millions of U.S. dollars)**

| | 2024 | 2023 |
|---|---|---|
| **Revenues** | | |
| Gross premiums written | $ 2,756.1 | $ 2,210.5 |
| Reinsurance premiums ceded | (1,030.2) | (688.6) |
| Net premiums written | 1,725.9 | 1,521.9 |
| Change in net unearned premiums | (139.6) | (215.4) |
| Net premiums earned | 1,586.3 | 1,306.5 |
| Net realized and unrealized investment (losses)/gains | (16.7) | 5.2 |
| Net investment income | 136.8 | 87.6 |
| Other income | 3.7 | 4.1 |
| **Total revenues** | **1,710.1** | **1,403.4** |
| | | |
| **Expenses** | | |
| Losses and loss adjustment expenses | 905.6 | 452.7 |
| Policy acquisition expenses (includes The Fidelis Partnership commissions of $125.6 (2023: $118.6)) | 703.9 | 536.4 |
| General and administrative expenses | 38.0 | 51.0 |
| Net foreign exchange losses | 0.9 | 1.3 |
| Financing costs | 2.1 | 2.6 |
| **Total expenses** | **1,650.5** | **1,044.0** |
| | | |
| **Income before income taxes** | **59.6** | **359.4** |
| Income tax benefit | 1.0 | 88.9 |
| **Net income** | **60.6** | **448.3** |
| | | |
| **Other comprehensive income** | | |
| Unrealized gains on available-for-sale investments | $ 8.4 | $ 57.1 |
| Reclassification of net realized losses recognized in net income | 15.6 | 0.7 |
| Income tax expense, all of which relates to unrealized gains on available-for-sale investments | (0.1) | (1.1) |
| **Total other comprehensive income** | **23.9** | **56.7** |
| | | |
| **Comprehensive income** | **$ 84.5** | **$ 505.0** |

*See accompanying notes to the consolidated financial statements*

**FIDELIS INSURANCE BERMUDA LIMITED**
**Consolidated Statements of Changes in Shareholder's Equity**
**For the years ended December 31, 2024 and 2023**
**(Expressed in millions of U.S. dollars)**

| | 2024 | 2023 |
|---|---|---|
| **Common shares** | | |
| **Balance - beginning and end of year** | **1.0** | **1.0** |
| | | |
| **Additional paid-in capital** | | |
| Balance - beginning of year | 1,523.7 | 1,494.2 |
| Share compensation expense | — | 4.5 |
| Capital contribution from parent | — | 25.0 |
| **Balance - end of year** | **1,523.7** | **1,523.7** |
| | | |
| **Accumulated other comprehensive income/(loss), net of tax** | | |
| Unrealized gains/(losses) on available-for-sale securities, net of tax | | |
| Balance - beginning of year | (17.6) | (74.3) |
| Unrealized gains arising during the year, net of reclassification adjustment | 23.9 | 56.7 |
| **Balance – end of year** | **6.3** | **(17.6)** |
| | | |
| **Retained earnings** | | |
| Balance – beginning of year | 409.1 | 70.8 |
| Net income | 60.6 | 448.3 |
| Cash dividends declared | (200.0) | (110.0) |
| **Balance - end of year** | **269.7** | **409.1** |
| | | |
| **Total shareholder's equity** | **$ 1,800.7** | **$ 1,916.2** |

*See accompanying notes to the consolidated financial statements*

**FIDELIS INSURANCE BERMUDA LIMITED**
**Consolidated Statements of Cash Flows**
**For the years ended December 31, 2024 and 2023**
**(Expressed in millions of U.S. dollars)**

| | 2024 | 2023 |
|---|---|---|
| **Operating activities** | | |
| Net income | $ 60.6 | $ 448.3 |
| Adjustments to reconcile net income after tax to net cash provided by operating activities: | | |
| Accretion, Amortization and depreciation | (13.8) | (5.7) |
| Net realized and unrealized loss/(gain) on investments | 16.7 | (5.2) |
| Deferred tax benefit | (0.9) | (90.2) |
| **Net changes in assets and liabilities:** | | |
| Accrued investment income | (3.4) | (13.0) |
| Premiums and other receivables | (545.4) | (56.8) |
| Amounts due from The Fidelis Partnership | (19.9) | (49.5) |
| Deferred reinsurance premiums | (198.9) | (84.1) |
| Reinsurance balances recoverable on paid losses | (18.7) | 20.8 |
| Reinsurance balances recoverable on reserves for losses and loss adjustment expenses | (31.4) | 35.3 |
| Deferred policy acquisition costs | (91.6) | (144.4) |
| Amounts due from affiliates | 0.7 | 11.1 |
| Other assets | (4.0) | 15.0 |
| Reserves for losses and loss adjustment expenses | 515.3 | 59.7 |
| Unearned premiums | 340.2 | 295.4 |
| Reinsurance balances payable | 230.1 | 5.6 |
| Amounts due to The Fidelis Partnership | 30.8 | 148.0 |
| Amounts due to affiliates | 26.0 | (31.2) |
| Other liabilities | 12.9 | 5.9 |
| **Net cash provided by operating activities** | **305.3** | **565.0** |
| **Investing activities** | | |
| Purchase of available-for-sale securities | (1,500.2) | (1,785.3) |
| Proceeds from maturities of available-for-sale securities | 660.5 | 938.7 |
| Proceeds from sale of available-for-sale securities | 853.7 | 10.7 |
| Purchase of other investments | (200.0) | — |
| Proceeds from sale of other investments | 47.3 | 75.2 |
| Purchase of fixed assets | (1.5) | 0.7 |
| **Net cash used in investing activities** | **(140.2)** | **(760.0)** |
| **Financing activities** | | |
| Dividends on common shares | (150.0) | (110.0) |
| Capital contribution from parent | — | 25.0 |
| **Net cash used in financing activities** | **(150.0)** | **(85.0)** |
| Effect of exchange rate changes on foreign currency cash | (2.5) | 0.1 |
| **Net increase/(decrease) in cash, restricted cash, and cash equivalents** | 12.6 | (279.9) |
| Cash, restricted cash, and cash equivalents, beginning of period | 567.8 | 847.7 |
| **Cash, restricted cash, and cash equivalents, end of period** | **$ 580.4** | **$ 567.8** |
| **Supplemental disclosure of cash flow information:** | | |
| Net cash paid during the period for income taxes | 3.3 | — |
| Cash paid during the period for interest | — | — |

*See accompanying notes to the consolidated financial statements*

## 1. Nature of Operations

Fidelis Insurance Bermuda Limited (the "Company", or "FIBL") was incorporated as an exempted company under the laws of Bermuda on February 26, 2015 and writes insurance and reinsurance on a global basis. The Company is registered as a Class 4 insurer under the Insurance Act of 1978 and related regulations of Bermuda (the "Insurance Act") and commenced (re)insurance operations in June 2015. The Company is a wholly owned subsidiary of Fidelis Insurance Holdings Limited ("Fidelis", or "FIHL") which was incorporated under the laws of Bermuda on August 22, 2014. FIHL's common shares are listed on the New York Stock Exchange under the symbol "FIHL" following an initial public offering that was completed on July 3, 2023.

During 2018, the Company established the following wholly owned subsidiaries: Fidelis Insurance Ireland DAC ("FIID") and Fidelis European Holdings Limited ("FEHL"). The Company and its subsidiaries are collectively referred to as the "Group" in these financial statements.

- FIID is an indirect wholly owned subsidiary of FIBL and was incorporated under the laws of Republic of Ireland ("ROI") on December 27, 2017 and writes Specialty and Bespoke non-U.K. European business. FIID was licensed in the ROI by the Central Bank of Ireland ("CBI") on October 22, 2018. FIID commenced writing business from January 1, 2019 and accepted non-UK European Economic Area ("EEA") insurance policies from Fidelis Underwriting Limited ("FUL") through a Part VII transfer under the Financial Services and Market Act of 2000 during 2019. The Part VII transfer was completed on March 29, 2019.
- FEHL was incorporated under the laws of England and Wales on January 11, 2018 to act as a holding company within the Group.

On 3 January 2023, FIHL completed a series of separation and reorganization transactions creating two distinct holding companies and businesses: FIHL and MGU HoldCo (the "Separation Transactions"). MGU HoldCo (or "The Fidelis Partnership") is a separate, privately held company, which manages origination, underwriting, underwriting administration, outwards reinsurance and claims handling on behalf the Group. Following the consummation of the Separation Transactions, The Fidelis Partnership acquired 9.9% of the common shares in FIHL. FIHL and MGU HoldCo have entered into the Framework Agreement, effective from 1 January 2023, that governs the ongoing relationship between the two groups of companies. Further details are set out at Note 10, Related Party Transactions.

On May 22, 2024, the Company established a Lloyd's corporate member, Nameco (No. 1404) Limited (the "Fidelis IG Corporate Member"), a wholly owned subsidiary of FIBL, to facilitate its participation (9.9% for the 2024 year of account) in Syndicate 3123's underwriting activity commencing July 1, 2024.

## 2. Significant Accounting Policies

### Basis of presentation

The accompanying consolidated financial statements have been prepared in conformity with generally accepted accounting principles in the United States ("U.S. GAAP") and include the results of Fidelis Insurance Bermuda Limited and its subsidiaries. All intercompany balances and transactions have been eliminated on consolidation.

### Reporting currency

The financial information is reported in United States dollars ("U.S. dollars" or "$"), expressed in millions, except for share and per share amounts.

### Use of estimates, risks and uncertainties

The preparation of financial statements in conformity with U.S. GAAP requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

The most significant estimates reflected in the financial statements include:

- Written and earned premiums;
- Reserves for losses and loss adjustment expenses;
- Reinsurance balance recoverable on reserves for losses and loss adjustment expenses;
- Fair value measurements of fixed maturity investments, available-for-sale; and

- Deferred tax assets, valuation allowances and unrecognized tax benefits.

**Cash and cash equivalents**

Cash and cash equivalents consist of cash held in banks, money market funds and other short-term, highly liquid investments with original maturity dates of 90 days or less, provided they are not part of the investment portfolio.

**Restricted cash and cash equivalents**

Restricted cash and cash equivalents consist of cash held in segregated or trust accounts, which is unavailable for immediate use by the Group, primarily to provide collateral for letters of credit, reinsurance agreements, and to support the current value of any amounts that may be due to counterparties based on the value of underlying financial instruments.

**Investments**

The Group currently classifies its fixed maturity securities and short-term investments as "available-for-sale" ('AFS') and, accordingly, they are carried at fair value with the changes in fair value recorded as an unrealized gain or loss component of accumulated other comprehensive income in shareholder's equity.

Investments with a maturity from three months up to one year from date of purchase are classified as short-term investments.

For all fixed maturity securities, realized gains or losses are determined on the basis of the first-in, first-out method. Realized gains and losses on fixed maturity securities include allowances for expected credit losses. This allowance represents the difference between the security's amortized cost and the amount expected to be collected over the security's lifetime.

Unrealized gains and losses represent the difference between the cost, or the cost as adjusted by amortization of any difference between its cost and its redemption value ("amortized cost"), of the security and its fair value at the reporting date and are included within other comprehensive income for securities classified as available-for-sale.

The Group's other investments consist of a portfolio of hedge funds that is valued at fair value using net asset value per share as a practical expedient. These funds are not reflected within the fair value hierarchy disclosed in Note 4 (Fair Value Measurements). Prior to December 31, 2024, the Group also held an investment in the Wellington Opportunistic Fixed-Income Undertakings for the Collective Investment in Transferable Securities Fund that was carried at fair value. Realized and unrealized gains on other investments are included in net realized and unrealized investment gains and losses on the Consolidated Statements of Income.

Investment transactions are recorded on a trade date basis. Investments pending settlement include receivables and payables from unsettled trades with brokers. Receivables and payables from unsettled trades are carried at fair value based on quoted prices in active markets for identical assets or derived based on inputs that are observable. Receivables and payables from unsettled trades are classified within other assets and other liabilities, respectively, on the Consolidated Balance Sheets.

**Net investment income**

Net investment income includes amounts received and accrued in respect of periodic interest ("coupons") payable to the Group by the issuer of fixed income securities and interest credited on cash and cash equivalents. It also includes amortization of premium and accretion of discount in respect of fixed income securities. Investment management, custody, and investment administration fees are charged against net investment income reported in the Consolidated Statements of Income.

The Group reports accrued investment income separately from investment balances and has elected not to measure an allowance for credit losses for accrued investment income. Any uncollectible accrued interest income is written off in the period it is deemed uncollectible.

**Derivative assets and liabilities**

All derivatives are recognized in the Consolidated Balance Sheets at fair value on a gross basis and not offset against any collateral pledged or received. Unrealized gains and losses resulting from changes in fair value are included in net realized and unrealized investment gains and losses or net foreign exchange gains and losses in the Consolidated Statements of Income. The Group's derivative financial instrument assets are included in other assets and derivative financial instrument liabilities are included in other liabilities in the Consolidated Balance Sheets. None of the Group's derivatives are designated as accounting hedges for financial reporting purposes. Pursuant to the International Swaps and Derivatives Association ("ISDA") master agreements and other derivative agreements, the Group and its counterparties typically have the ability to settle on a net basis. In addition, in the event a party to one of the ISDA master agreements or other derivative agreements defaults, or a transaction is otherwise subject to termination, the non-defaulting party generally has the right to set off against payments owed to the defaulting party or collateral held by the defaulting party.

The Group may enter into derivative transactions to manage foreign currency exchange risk, interest rate or duration risk, or other exposure risks. The Group also sometimes enters catastrophe swap derivatives to manage its exposure to catastrophe events. Derivative transactions typically include futures, options, swaps and forwards. Derivative assets represent financial contracts whereby, based upon the contract's current fair value, the Group will be entitled to receive payments upon settlement. Derivative liabilities represent financial contracts whereby, based upon the contract's current fair value, the Group will be obligated to make payments upon settlement.

The Group manages foreign currency exposure by substantively balancing assets with liabilities for certain major non-U.S. dollar currencies, or by entering into currency forward contracts. However, there is no guarantee that this will effectively mitigate exposure to foreign exchange gains and losses.

Where a contract includes an embedded derivative, the embedded derivative is recognized separately only if the contract is not recognized at fair value, or the economic characteristics and risks of the embedded derivative are not clearly and closely related to those of the host contract.

**Premiums and acquisition costs**

Premiums written are recorded on inception of the policy. Premiums written include estimates based on information received from insureds, brokers and cedants, and any subsequent differences arising on such estimates are recorded as premiums written in the period they are determined. Premiums written are earned on a basis consistent with risks covered over the period the coverage is provided. The portion of the premiums written applicable to the unexpired terms of the underlying contracts and policies is recorded as unearned premium.

Reinstatement premiums are recognized as written and earned after the occurrence of a loss and are recorded in accordance with the contract terms based upon management's estimate of losses and loss adjustment expenses.

Policy acquisition expenses are directly related to the acquisition of insurance premiums and are deferred and amortized over the related policy period in line with earned premium. The Group only defers acquisition costs incurred that are directly related to the successful acquisition of new or renewal insurance contracts, including commissions to agents, brokers and premium taxes. All other acquisition related expenses including indirect costs are expensed as incurred. To the extent that future policy revenues on existing policies are not adequate to cover related costs and expenses, deferred policy acquisition costs are charged to earnings.

The Group evaluates premium deficiency and the recoverability of deferred acquisition costs by determining if the sum of future earned premiums and anticipated investment return is greater than expected future losses and loss adjustment expenses and policy acquisition expenses.

**Premiums receivable**

Premiums receivable includes amounts receivable from insureds, net of brokerage costs, which represent premiums that are both currently due and amounts not yet due on insurance and reinsurance policies. Premiums for insurance policies are generally due at inception. Premiums for reinsurance policies generally become due over the period of coverage based on the policy terms. Contract periods can be several years in length with premiums received in annual or quarterly installments.

The Group monitors the credit risk associated with premiums receivable, taking into consideration the fact that in certain instances credit risk may be reduced by the Group's right to offset loss obligations against premiums receivable, and contracts are generally cancellable for non-payment. The Group establishes an allowance for expected credit losses based upon an aged analysis of amounts due, historical write-offs, current economic conditions and expectations of future economic conditions. Further details are set out at Note 8 (Reinsurance and Retrocessional Reinsurance). Changes in the estimate of (re)insurance premiums written will also result in an adjustment to premiums receivable in the period they are determined.

**Reinsurance and retrocession**

The Group seeks to reduce the risk of net losses on business written by reinsuring certain risks and exposures with other reinsurers. Ceded reinsurance contracts do not relieve the Group of its primary obligation to insureds. Ceded premiums are recognized when the coverage period incepts and are expensed over the contract period in proportion to the coverage period or, when the coverage period does not align to the risk exposure, in proportion to the underlying risk exposure. Premiums relating to the unexpired portion of reinsurance ceded are recorded as deferred reinsurance premiums.

Commissions on ceded business are deferred and amortized over the period in which the related ceded premium is recognized. The deferred balance is recorded within deferred policy acquisition costs on the Consolidated Balance Sheets and the amortization is recognized within policy acquisition expenses in the Consolidated Statements of Income.

**Losses and loss adjustment expenses**

The liability for losses and loss adjustment expenses includes reserves for unpaid reported losses and for losses incurred but not reported ("IBNR"). These estimates are reported net of amounts estimated to be recoverable from salvage, subrogation and other recoveries. The reserve for losses and loss adjustment expenses is established by management based on reports from insureds, brokers, and ceding companies and the application of generally accepted actuarial techniques, including the output from catastrophe and probabilistic models, and represents the estimated ultimate cost of events or conditions that have been reported to or specifically identified by the Group as incurred.

The Group estimates ultimate losses using various actuarial methods as well as the Group's own loss experience, historical insurance industry loss experience, estimates of pricing adequacy trends and management's professional judgement. The estimated cost of claims includes expenses to be incurred in settling claims.

The estimation of losses and loss adjustment expense reserves is based on various complex and subjective judgments, as described in Note 7 (Reserves for Losses and Loss Adjustment Expenses). Ultimate losses and loss adjustment expenses may differ materially from the amount recorded in the financial statements. These estimates are reviewed regularly and as experience develops and new information becomes known, the reserves are adjusted as necessary. Such adjustments, if any, are recorded in losses and loss adjustment expenses in the periods in which they are determined.

**Reinsurance balances recoverable**

Amounts recoverable from reinsurers are estimated based on the terms and conditions of the reinsurance contracts in a manner consistent with the underlying liability reinsured. The Group evaluates the financial condition of its reinsurers and monitors concentration of credit risk to minimize its exposure to significant losses from individual reinsurers. The ceding of insurance does not legally discharge the Group from its primary liability for the full amount of the policies, and the Group will be required to pay the loss and bear collection risk if the reinsurer fails to meet its obligations under the reinsurance or retrocessional agreement. To further reduce credit exposure on reinsurance recoverables, the Group has received collateral, including letters of credit and trust accounts, from certain reinsurers. Collateral related to these reinsurance agreements is available, without restriction, when the Group pays losses covered by the reinsurance agreements.

An allowance is established for credit losses expected to be incurred over the life of the reinsurance recoverable, which is recorded net of this allowance. To determine the allowance for expected credit losses, the probability of default is calculated based on the reinsurer credit ratings and default factors developed by a major rating agency. The allowance is charged to net income in the period the recoverable is recorded and revised in subsequent periods to reflect changes in the Group's estimate of expected credit losses. Further details are set out at Note 8 (Reinsurance and Retrocessional Reinsurance).

**Leases**

The Group assesses whether a contract contains a lease at the inception of the contract, determining at that point whether any leases identified are operating leases or finance leases. The Group does not currently have any finance leases.

For operating leases with a lease term in excess of 12 months, a lease liability and corresponding operating right-of-use asset is recognized. The lease liability takes into account any renewal options that are deemed to be reasonably certain and is discounted using the Group's incremental borrowing rate, where the rate implicit in the lease is not available.

The unwinding of the discount is recognized in general and administrative expenses. The operating right-of-use asset is amortized straight line over the term of the lease and recognized in general and administrative expenses in the Consolidated Statements of Income.

**Income taxes**

Income taxes have been provided for those operations that are subject to income taxes based on tax laws and rates enacted in those jurisdictions. Current and deferred taxes are charged or credited to income tax expense.

Deferred tax assets and liabilities result from temporary differences between the amounts recorded in the consolidated financial statements and the tax basis of the Group's assets and liabilities. The effect on deferred tax assets and liabilities of a change in tax law or rates is recognized in income tax expense in the Consolidated Statements of Income in the period that includes the enactment date.

A valuation allowance is provided to reduce deferred tax assets to the amount management deem more likely than not to be realized.

The Group recognizes the benefit from a tax position taken or expected to be taken in income tax returns only if it is more likely than not that the tax position will be sustained upon examination by taxing authorities, based on the technical merits of the position. Tax positions that meet the more likely than not threshold are measured as the largest amount of tax benefit that is greater than 50 percent likely of being realized upon settlement. The Group recognizes interest and penalties related to income taxes in income tax expense.

**Foreign exchange**

The functional currency of the Group and its subsidiaries is U.S. dollar. Transactions in foreign currencies are translated in U.S. dollars at the exchange rate in effect on the transaction date. Monetary assets and liabilities in foreign currencies are re-measured at the exchange rates in effect at the reporting date. Foreign exchange gains and losses are included in the Consolidated Statements of Income. Non-monetary assets and liabilities are remeasured to the functional currency at historic exchange rates.

**Comprehensive income**

Comprehensive income represents all changes in equity that result from recognized transactions and other economic events during the period. Other comprehensive income refers to revenues, expenses, gains and losses that under U.S. GAAP are included in comprehensive income but excluded from net income, such as unrealized gains or losses on available-for-sale investments and foreign currency translation adjustments.

**Reclassification**

Certain amounts in the prior period financial statements have been reclassified to conform to the presentation of the current period financial statements. These reclassifications had no impact on the previously reported net income or shareholder's equity.

**Recent accounting pronouncements**

**Accounting standards not yet adopted**

In December 2023, the Financial Accounting Standards Board ("FASB") issued ASU 2023-09 "Improvements to Income Tax Disclosures". This guidance is intended to improve the transparency of income tax disclosures by requiring consistent categories and disaggregation of information in the effective income tax rate reconciliation and income taxes paid disclosures by jurisdiction. The guidance also includes other amendments to improve the effectiveness of income tax disclosures by removing certain previously required disclosures. The guidance is effective for 2026 annual reporting. Early adoption is permitted. The Group is currently evaluating the impact of adoption on the disclosures within its consolidated financial statements.

## 3. Investments

At December 31, 2024, the Group's investments are substantially all managed by external investment managers through individual investment management agreements. The Group monitors activity and performance of the external managers on an ongoing basis.

***a. Fixed maturity securities***

The following table summarizes the fair value of fixed maturity investments:

| | December 31, 2024 | | | |
|---|---|---|---|---|
| | Amortized Cost | Unrealized gains | Unrealized losses | Fair value |
| U.S. Treasuries | $ 557.1 | $ 1.8 | $ (1.5) | $ 557.4 |
| Agencies | 4.3 | — | — | 4.3 |
| Non-U.S. government | 24.3 | — | (0.2) | 24.1 |
| Corporate bonds | 1,192.0 | 6.5 | (1.8) | 1,196.7 |
| Residential mortgage-backed | 174.6 | 0.5 | (1.0) | 174.1 |
| Commercial mortgage-backed | — | 0.4 | — | 0.4 |
| Other asset-backed securities | 412.3 | 2.3 | (0.2) | 414.4 |
| **Total fixed maturity securities** | **$ 2,364.6** | **$ 11.5** | **$ (4.7)** | **$ 2,371.4** |

| | December 31, 2023 | | | |
|---|---|---|---|---|
| | Amortized Cost | Unrealized gains | Unrealized losses | Fair value |
| U.S. Treasuries | $ 613.3 | $ 3.7 | $ (9.1) | $ 607.9 |
| Agencies | 6.2 | — | (0.1) | 6.1 |
| Non-U.S. government | 44.8 | 0.1 | (1.2) | 43.7 |
| Corporate bonds | 1,222.6 | 9.6 | (14.8) | 1,217.4 |
| Residential mortgage-backed | 112.8 | 1.3 | (2.4) | 111.7 |
| Commercial mortgage-backed | 53.1 | — | (2.0) | 51.1 |
| Other asset-backed securities | 441.7 | 1.3 | (3.6) | 439.4 |
| **Total fixed maturity securities** | **$ 2,494.5** | **$ 16.0** | **$ (33.2)** | **$ 2,477.3** |

Review of the fixed maturity securities is performed on a regular basis to consider concentration, credit quality and compliance with established guidelines. For individual fixed maturity securities, nationally recognized statistical rating organizations are used and the middle of three or the lower of two ratings is taken. At December 31, 2023, the Group used the lower of two ratings. The December 31, 2023 disclosure has been presented to conform to the revised approach. The composition of the fair values of fixed maturity securities by credit rating is as follows:

| | December 31, 2024 | | December 31, 2023 | |
|---|---|---|---|---|
| | Fair Value | % | Fair Value | % |
| AAA | $ 362.2 | 15% | $ 381.8 | 15% |
| AA | 885.7 | 38% | 922.1 | 38% |
| A | 843.0 | 36% | 876.9 | 35% |
| BBB | 272.5 | 11% | 294.9 | 12% |
| Below BBB | 8.0 | —% | 1.6 | —% |
| **Total fixed maturity securities** | **$ 2,371.4** | **100%** | **$ 2,477.3** | **100%** |

The contractual maturities for fixed maturity securities are listed in the following table:

| | December 31, 2024 | | December 31, 2023 | |
|---|---|---|---|---|
| | Amortized Cost | Fair Value | Amortized Cost | Fair Value |
| Due in one year or less | $ 124.0 | $ 123.8 | $ 420.6 | $ 412.7 |
| Due after one year through five years | 1,602.7 | 1,608.0 | 1,603.8 | 1,596.7 |
| Due after five years through ten years | 392.3 | 393.7 | 215.9 | 216.4 |
| Due after ten years | 245.6 | 245.9 | 254.2 | 251.5 |
| **Total fixed maturity securities** | **$ 2,364.6** | **$ 2,371.4** | **$ 2,494.5** | **$ 2,477.3** |

Expected maturities may differ from contractual maturities as borrowers may have the right to call or repay obligations with or without call or prepayment penalties. Additionally, lenders may have the right to put the securities back to the borrower.

***b. Short-term investments***

The Group's short-term investments consist of U.S. Treasuries and other asset-backed securities with maturities of 90 days or greater but less than one year at the time of purchase:

| | December 31, 2024 | | | |
|---|---|---|---|---|
| | Amortized Cost | Unrealized gains | Unrealized losses | Fair value |
| U.S. Treasuries | $ 154.1 | $ 0.1 | $ — | $ 154.2 |
| Other asset-backed securities | 0.3 | — | — | 0.3 |
| Total short-term investments | **$ 154.4** | **$ 0.1** | **$ —** | **$ 154.5** |

| | December 31, 2023 | | | |
|---|---|---|---|---|
| | Amortized Cost | Unrealized gains | Unrealized losses | Fair value |
| U.S. Treasuries | $ 42.1 | $ — | $ — | $ 42.1 |
| **Total short-term investments** | **$ 42.1** | **$ —** | **$ —** | **$ 42.1** |

The composition of the fair values of short-term investments by credit rating is as follows:

| | December 31, 2024 | | December 31, 2023 | |
|---|---|---|---|---|
| | Fair Value | % | Fair Value | % |
| AAA | $ 0.3 | —% | $ — | —% |
| AA | 154.2 | 100% | 42.1 | 100% |
| Below BBB | — | —% | — | —% |
| **Total short-term investments** | **$ 154.5** | **100%** | **$ 42.1** | **100%** |

### c. *Available-for-sale - net loss position*

The following table summarizes, by type of security, the aggregate fair value and gross unrealized loss by length of time the security has been in an unrealized loss position for the Group's available-for-sale portfolio:

| | December 31, 2024 | | | |
|---|---|---|---|---|
| | | 0 - 12 months | > 12 months | |
| | Fair value | Gross unrealized losses | Gross unrealized losses | Number of securities |
| U.S. Treasuries | $ 206.0 | $ (1.2) | $ (0.3) | 37 |
| Agencies | 2.2 | — | — | 1 |
| Non-U.S. government | 16.4 | (0.1) | (0.1) | 7 |
| Corporate bonds | 328.2 | (1.4) | (0.4) | 147 |
| Residential mortgage-backed | 65.8 | (0.9) | (0.1) | 27 |
| Other asset-backed securities | 64.7 | (0.2) | — | 25 |
| **Total** | **$ 683.3** | **$ (3.8)** | **$ (0.9)** | **244** |

| | December 31, 2023 | | | |
|---|---|---|---|---|
| | | 0 - 12 months | > 12 months | |
| | Fair value | Gross unrealized losses | Gross unrealized losses | Number of securities |
| U.S. Treasuries | $ 336.1 | $ (0.2) | $ (8.9) | 48 |
| Agencies | 3.5 | — | (0.1) | 3 |
| Non-U.S. government | 35.2 | — | (1.2) | 22 |
| Corporate bonds | 584.4 | (0.7) | (14.1) | 375 |
| Residential mortgage-backed | 53.7 | (0.2) | (2.2) | 31 |
| Commercial mortgage-backed | 43.2 | (0.1) | (1.9) | 23 |
| Other asset-backed securities | 208.2 | (0.3) | (3.3) | 74 |
| **Total** | **$ 1,264.3** | **$ (1.5)** | **$ (31.7)** | **576** |

At December 31, 2024 on a security level basis, 244 securities out of a total of approximately 828 securities were in an unrealized loss position and the largest unrealized loss from a single security in the Group's fixed maturity portfolio was $0.2 million. The Group believes that such securities were temporarily impaired at December 31, 2024. At December 31, 2023, on a security level basis, approximately 576 securities out of a total of approximately 963 securities were in an unrealized loss position and the largest unrealized loss from a single security in the Group's fixed maturity portfolio was $1.7 million.

### d. *Allowance for expected credit losses - available-for-sale*

The following table provides a roll forward of the allowance for expected credit losses of the Group's securities classified as available-for-sale:

| | December 31, 2024 | December 31, 2023 |
|---|---|---|
| Balance at beginning of year | $ 0.6 | $ 0.8 |
| Expected credit losses on securities where credit losses were not previously recognized | 4.0 | 2.7 |
| Reductions for expected credit losses on securities where credit losses were previously recognized | (1.5) | (2.3) |
| Securities sold/redeemed/matured | (0.5) | (0.6) |
| Balance at end of year | **$ 2.6** | **$ 0.6** |

The Group assesses each quarter whether the decline in the fair value of an available-for-sale investment below its amortized cost is the result of a credit loss. All available-for-sale securities with unrealized losses are reviewed. The Group considers many factors to determine whether a credit loss exists, including the extent to which fair value is below cost, the implied yield to maturity, rating downgrades of the security and whether or not the issuer has failed to make scheduled principal or interest payments. The Group also takes into consideration information about the financial condition of the issuer and industry factors that could negatively impact the capital markets.

If the decline in fair value of an available-for-sale security below its amortized cost is considered to be the result of a credit loss, the Group compares the estimated present value of the cash flows expected to be collected to the amortized cost of the security. The extent

to which the estimated present value of the cash flows expected to be collected is less than the amortized cost of the security represents the expected credit loss, which is recorded as an allowance and recognized in net income.

***e. Other investments, at fair value***

The components of our other investments, at fair value are as follows:

| | December 31, 2024 | | December 31, 2023 | |
|---|---|---|---|---|
| | Fair Value | % | Fair Value | % |
| Hedge funds valued at net asset value per share | $ 201.0 | 100% | $ 0.6 | 1% |
| Wellington Funds | — | —% | 46.9 | 99% |
| **Total other investments at fair value** | **$ 201.0** | **100%** | **$ 47.5** | **100%** |

The composition of our hedge fund investments by investment strategy is as follows:

| | December 31, 2024 | | December 31, 2023 | |
|---|---|---|---|---|
| | Fair Value | % | Fair Value | % |
| Credit | $ 22.3 | 12% | $ 0.6 | 100% |
| Global macro | 44.8 | 22% | — | —% |
| Long/short | 44.9 | 22% | — | —% |
| Multi-strategy and event-driven | 89.0 | 44% | — | —% |
| | **$ 201.0** | **100%** | **$ 0.6** | **100%** |

These hedge funds are redeemable over periods ranging from one month to greater than twelve months.

The common redemption restrictions which may impact the Group's ability to redeem hedge funds are lockup periods, hold-backs and gates. A lockup period is the initial amount of time an investor is contractually required to remain invested in the fund before having the ability to redeem in whole or in part. A hold-back entitles the fund to retain up to 10% of a total redemption request, pending completion of the external audit for the financial year in which the redemption occurs. A gate is a suspension of redemptions which may be implemented by the investment manager of the fund to defer, in whole or in part, the redemption request in the event the aggregate amount of redemption requests exceeds a specified percentage of the fund's net assets. At December 31, 2024, approximately 80% of the total hedge fund investment can be redeemed within the next twelve months, while approximately 20% of the total hedge fund investment could be subject to lock-ups or hold-backs and is not redeemable within twelve months. At December 31, 2024 none of the hedge funds was subject to a gate.

***f. Net investment income and net realized and unrealized investment gains***

The components of net investment return are as follows:

| | 2024 | 2023 |
|---|---|---|
| Net interest and dividend income | $ 140.7 | $ 90.5 |
| Investment expenses | (3.9) | (2.9) |
| **Net investment income** | **136.8** | **87.6** |
| Net realized losses on fixed maturity securities, available-for-sale | (15.6) | (0.7) |
| Net realized gains on other investments | 0.1 | 2.1 |
| Change in net unrealized gains on other investments | 0.8 | 3.6 |
| Change in provision for expected credit losses | (2.0) | 0.2 |
| **Net realized and unrealized investment gains/(losses)** | **(16.7)** | **5.2** |
| **Total realized and unrealized investments gains/(losses) and net investment income** | **$ 120.1** | **$ 92.8** |

## 4. Fair Value Measurements

FASB ASC 820-10, Fair Value Measurements and Disclosures, defines fair value, establishes a consistent framework for measuring fair value and requires disclosures about fair value measurements. The standard requires the Group to maximize the use of observable inputs and minimize the use of unobservable inputs when measuring fair value.

***Fair value hierarchy***

FASB ASC 820-10 specifies a hierarchy of inputs based on whether the inputs are observable or unobservable. Observable inputs are developed using market data and reflect market participant assumptions, while unobservable inputs reflect the Group's market assumptions. The fair value hierarchy is as follows:

- Level 1: Inputs to the valuation methodology are quoted prices (unadjusted) for identical assets or liabilities traded in active markets. The fair value is determined by multiplying the quoted price by the quantity held by the Group.
- Level 2: Inputs to the valuation methodology include quoted prices for similar assets or liabilities in active markets, quoted prices (e.g. interest rates, yield curves, prepayment spreads, default rate, etc.) for identical or similar assets or liabilities in markets that are not active, inputs other than quoted prices that are observable for the asset or liability or can be corroborated by observable market data.
- Level 3: Inputs to the valuation methodology are unobservable for the asset or liability and are significant to the fair value measurement. Significant management assumptions can be used to establish management's best estimate of the assumptions used by other market participants in determining the fair value of the asset or liability.

As required under the fair value hierarchy, the Group considers relevant and observable market inputs in its valuations where possible. The frequency of transactions, the size of the bid-ask spread and the amount of adjustment necessary when comparing similar transactions are all factors in determining the liquidity of markets and the relevance of observable prices in those markets.

The Group's policy with respect to transfer between levels of the fair value hierarchy is to recognize transfers into and out of each level as of the end of the reporting period.

**Determination of fair value**

The following section describes the valuation methodologies used by the Group to measure assets and liabilities at fair value, including an indication of the level within the fair value hierarchy in which each asset or liability is generally classified.

**Fixed maturity securities**

Fair values for all securities in the fixed income investment portfolio are independently provided by the investment administrator, investment custodians, and investment managers, each of which utilize internationally recognized independent pricing services.

For determining the fair value of securities that are not actively traded, in general, pricing services use "matrix pricing" in which the independent pricing service uses observable market inputs including, but not limited to, reported trades, benchmark yields, broker-dealer quotes, interest rates, prepayment spreads, default rates and such other inputs as are available from market sources to determine a reasonable fair value.

The following describes the techniques generally used to determine the fair value of the Group's fixed maturity securities by asset class.

- U.S. Treasuries are bonds issued by the U.S. government. The significant inputs used to determine the fair value of these securities are based on quoted prices in active markets for identical assets and are therefore classified within Level 1.
- Agency securities consist of securities issued by U.S. and non-U.S. government sponsored agencies such as the Federal National Mortgage Association, the Federal Home Loan Mortgage Corporation, government development banks and other agencies which are not mortgage pass-through. The fair values of these securities are classified as Level 2.
- Non-U.S. government securities consist of bonds issued by non-U.S. governments and supranationals. The significant inputs used to determine the fair value of these securities include the spread above the risk-free yield curve, reported trades and broker-dealer quotes. These are considered to be observable market inputs and, therefore, the fair values of these securities are classified within Level 2.
- Corporate bonds consist primarily of investment-grade debt of a wide variety of corporate issuers and industries. When available, significant inputs are used to determine the fair value of these securities and are based on quoted prices in active markets for similar assets. When not available, the fair values of these securities are determined using the spread above the risk-free yield curve, reported trades, broker-dealer quotes, benchmark yields, and industry and market indicators. The fair values of these securities are classified as Level 2.

- Residential mortgage-backed securities include agency mortgage-backed securities and agency collateralized mortgage obligations. These are individually evaluated using option adjusted spreads ("OAS") and nominal spreads. The OAS valuations use a third-party prepayment model and OAS. Spreads are based upon tranche type and average life volatility. These spreads are gathered from dealer quotes, trade prices, and the new issue market. The fair values of these securities are classified as Level 2.
- Commercial mortgage-backed securities consist of investment grade bonds backed by pools of loans with underlying collateral. Securities held in this sector are primarily priced by pricing services. Inputs to the valuation process include broker-dealer quotes and other available trade information, prepayment speeds, current price data, the swap curve as well as cash settlement. The fair values of these securities are classified as Level 2.
- Other asset-backed securities consist of investment grade bonds backed by pools of loans with underlying collateral. The underlying collateral for asset-backed securities consists mainly of student loans, automobile loans and credit card receivables. These securities are primarily priced by index providers and pricing vendors. Inputs to the valuation process include broker-dealer quotes and other available trade information, prepayment speeds, tranche type, interest rate data and credit spreads. The Group classifies these securities within Level 2.

**Short-term investments**

The Group's short-term investments are classified within the fair value hierarchy using the methodologies specified for our fixed maturity securities above.

The Group also invests in money market funds that are classified within Level 1 as their fair values are based on the publicly available net asset value per share.

**Derivative assets and liabilities**

Exchange-traded derivatives, measured at fair value using quoted prices in active markets where available, are classified as Level 1 of the fair value hierarchy.

Derivatives without quoted prices in an active market and derivatives executed over the counter are valued using internal valuation techniques that consider the time value of money, volatility, the current market and contractual prices of underlying financial instruments. These derivative instruments are classified as either Level 2 or Level 3 depending upon the observability of the significant inputs to the model. The valuation techniques and key inputs depend on the type of derivative and the nature of the underlying instrument.

**Other investments**

The fair value of the Wellington Funds at December 31, 2023 (disposed prior to December 31, 2024) is based on unadjusted quoted market prices in active markets. Therefore, the fair value of this security is classified as Level 1.

The following table presents the financial instruments measured at fair value on a recurring basis at December 31, 2024 and 2023:

| Assets | December 31, 2024 Level 1 | Level 2 | Level 3 | Total |
|---|---|---|---|---|
| Cash equivalents - money market funds | $ 321.6 | $ — | $ — | $ 321.6 |
| Fixed maturity securities | | | | |
| U.S. Treasuries | 557.4 | — | — | 557.4 |
| Agencies | — | 4.3 | — | 4.3 |
| Non-U.S. government | — | 24.1 | — | 24.1 |
| Corporate bonds | — | 1,196.7 | — | 1,196.7 |
| Residential mortgage-backed | — | 174.1 | — | 174.1 |
| Commercial mortgage-backed | — | 0.4 | — | 0.4 |
| Other asset-backed securities | — | 414.4 | — | 414.4 |
| **Total fixed maturity securities** | **557.4** | **1,814.0** | **—** | **2,371.4** |
| Short-term investments | | | | |
| U.S. Treasuries | 154.2 | — | — | 154.2 |
| Other asset-backed securities | — | 0.3 | — | 0.3 |
| Total short-term investments | **154.2** | **0.3** | **—** | **154.5** |
| **Total assets measured at fair value** | **$ 1,033.2** | **$ 1,814.3** | **$ —** | **$ 2,847.5** |
| **Liabilities** | | | | |
| Other liabilities | | | | |
| Derivative liabilities | $ — | $ (0.5) | $ — | $ (0.5) |
| Investments pending settlement | (19.5) | — | — | (19.5) |
| **Total other liabilities** | **(19.5)** | **(0.5)** | **—** | **(20.0)** |
| **Total liabilities measured at fair value** | **$ (19.5)** | **$ (0.5)** | **$ —** | **$ (20.0)** |

| Assets | December 31, 2023 Level 1 | Level 2 | Level 3 | Total |
|---|---|---|---|---|
| Cash equivalents - money market funds | $ 337.1 | $ — | $ — | $ 337.1 |
| Fixed maturity securities | | | | |
| U.S. Treasuries | 607.9 | — | — | 607.9 |
| Agencies | — | 6.1 | — | 6.1 |
| Non-U.S. government | — | 43.7 | — | 43.7 |
| Corporate bonds | — | 1,217.4 | — | 1,217.4 |
| Residential mortgage-backed | — | 111.7 | — | 111.7 |
| Commercial mortgage-backed | — | 51.1 | — | 51.1 |
| Other asset-backed securities | — | 439.4 | — | 439.4 |
| Total fixed maturity securities | **607.9** | **1,869.4** | **—** | **2,477.3** |
| Short-term investments | | | | |
| U.S. Treasuries | 42.1 | — | — | 42.1 |
| Total short-term investments | **42.1** | **—** | **—** | **42.1** |
| Other investments* | 46.9 | — | — | 46.9 |
| Other Assets | | | | |
| Investments pending settlement | 1.6 | — | — | 1.6 |
| **Total other assets** | **1.6** | **—** | **—** | **1.6** |
| **Total assets measured at fair value** | **$ 1,035.6** | **$ 1,869.4** | **$ —** | **$ 2,905.0** |
| **Liabilities** | | | | |
| Other liabilities | | | | |
| Derivative liabilities | $ — | $ (1.1) | $ — | $ (1.1) |
| **Total other liabilities** | **—** | **(1.1)** | **—** | **(1.1)** |
| **Total liabilities measured at fair value** | **—** | **(1.1)** | **—** | **(1.1)** |

* Includes the Wellington Funds and excludes investments valued at net asset value per share.

There were no transfers into or out of Level 1 and Level 2 during the year ended December 31, 2024 and December 31, 2023.

## 5. Total Cash, Cash Equivalents, Restricted Cash and Restricted Investments

The Group has cash and investments in trust funds that support the insurance contracts written on certain lines of business and in segregated portfolios primarily to provide collateral for letters of credit.

The following table provides a summary of cash and cash equivalents, restricted cash and restricted investments at December 31, 2024 and 2023:

| | December 31, 2024 | December 31, 2023 |
|---|---|---|
| Cash and cash equivalents | $ 426.5 | $ 428.2 |
| Restricted cash securing letter of credit facilities | 36.5 | 5.7 |
| Restricted cash securing reinsurance contracts | 117.4 | 133.9 |
| **Total cash, cash equivalents and restricted cash** | **580.4** | **567.8** |
| Restricted investments securing reinsurance contracts and letter of credit facilities | 1,256.1 | 1,321.6 |
| **Total cash, cash equivalents, restricted cash and restricted investments** | **$ 1,836.5** | **$ 1,889.4** |

## 6. Derivative Financial Instruments

The Group enters into derivative instruments such as futures and forward contracts primarily for foreign currency exposure management, and duration and interest rate exposure management. The Group's derivative instruments are generally traded under International Swaps and Derivatives Association master agreements, which establish the terms of the transactions entered into with the Group's derivative counterparties. In the event one party becomes insolvent or otherwise defaults on its obligations, a master agreement generally permits the non-defaulting party to accelerate and terminate all outstanding transactions and net the transactions' marked-to-market values so that a single sum in a single currency will be owed by, or owed to, the non-defaulting party. Effectively, this contractual close-out netting reduces credit exposure from gross to net exposure.

The following tables identify the listing currency, fair value and notional amounts of derivative instruments included in the Consolidated Balance Sheets, categorized by primary underlying risk:

| | December 31, 2024 | | |
|---|---|---|---|
| | Listing currency [1] | Notional amounts[2] | Fair value |
| Derivative liabilities by primary underlying risk | | | |
| Foreign exchange contracts | | | |
| Forwards [3] | AUD/CAD/EUR/ GBP/JPY/NZD | $ 31.0 | $ (0.5) |
| **Total derivative liabilities** | | **$ 31.0** | **$ (0.5)** |

| | December 31, 2023 | | |
|---|---|---|---|
| | Listing currency [1] | Notional amounts[2] | Fair value |
| Derivative liabilities by primary underlying risk | | | |
| Foreign exchange contracts | | | |
| Forwards [3] | AUD/CAD/EUR/ GBP/JPY | $ (9.7) | $ (1.1) |
| **Total derivative liabilities** | | **$ (9.7)** | **$ (1.1)** |

(1) AUD = Australian Dollar, CAD = Canadian Dollar, EUR = Euro, GBP = British pound, JPY = Japanese Yen and NZD = New Zealand dollar.
(2) The absolute notional exposure represents the Group's derivative activity, which is representative of the volume of derivatives held during the year.
(3) Contracts used to manage foreign currency risks in underwriting and non-investment operations.

The following table presents derivative instruments by major risk type, the Group's net realized gains/(losses) and change in net unrealized gains/(losses) relating to derivative trading activities for the years ended December 31, 2024 and 2023. Net realized gains/

(losses) and net unrealized gains/(losses) related to derivatives are included in net realized and unrealized investment gains/(losses) and net foreign exchange gains and losses in the Consolidated Statements of Income.

| | 2024 | | 2023 | |
|---|---|---|---|---|
| **Derivatives** | **Net realized gains/(losses)** | **Change in net unrealized gains/(losses)** | **Net realized gains/(losses)** | **Change in net unrealized gains/(losses)** |
| **Foreign exchange contracts** | | | | |
| Forwards [1] | (3.7) | 0.6 | 3.3 | (4.3) |
| Total foreign exchange contracts | (3.7) | 0.6 | 3.3 | (4.3) |
| **Total** | **$ (3.7)** | **$ 0.6** | **$ 3.3** | **$ (4.3)** |

(1) Contracts used to manage foreign currency risks in underwriting and non-investment operations.

The Group obtains/provides collateral from/to counterparties for over-the-counter derivative financial instruments in accordance with bilateral credit facilities.

The Group does not offset its derivative instruments and presents all amounts in the Consolidated Balance Sheets on a gross basis. Unrealized gains are included within other assets and unrealized losses are included within other liabilities. The Group has pledged cash collateral to counterparties to support the current value of amounts due to the counterparties based on the value of the underlying security.

## 7. Reserves for Losses and Loss Adjustment Expenses

The reserves for losses and loss adjustment expenses include an amount determined from reported claims, and estimates based on historical loss experience and industry statistics for losses incurred but not reported using a variety of actuarial methods.

The unpaid reported reserves for losses and loss adjustment expenses are established by management based on reports from brokers, ceding companies and insureds and represent the estimated ultimate cost of events or conditions that have been reported to, or specifically identified by, the Group.

IBNR reserves are established by management based on actuarial estimates of ultimate losses and loss adjustment expenses. Inherent in the estimate of ultimate losses and loss adjustment expenses are expected trends in claim severity, frequency of large losses and catastrophes, and other factors which may vary significantly as claims are settled. Actuarial inputs include the Group's own growing loss experience, historical insurance industry loss experience, estimates of pricing adequacy trends and management's professional judgement. Due to the limited historical data available, reliance is placed upon industry data and a review of individual policies. Estimates are calculated at the lowest level line of business, separately for gross and ceded, and for attritional, large and catastrophic claims.

***Actuarial methodologies:***

The principal actuarial methods, and associated key assumptions including initial expected loss ratios, loss development factors, and the weighting of actuarial methods, used to perform the Group's loss reserve analysis include:

***Initial expected loss ratio***

To estimate ultimate losses, the Group multiplies earned premiums by an expected loss ratio. The expected loss ratio is determined using a combination of benchmark data, the business plan, and expert judgement.

***Paid and incurred chain ladder***

This method estimates ultimate losses by calculating past paid and incurred loss development factors and applying them to exposure periods with further expected loss development. The main underlying assumption of this method is that historical loss development patterns are indicative of future loss development patterns.

***Paid and incurred Bornhuetter-Ferguson ("BF")***

This method combines features of the chain ladder and initial expected loss ratio method by using both reported and paid losses as well as an "a priori" expected loss ratio to arrive at an ultimate loss estimate. The weighting between these two methods depends on the maturity of the business. This means that for more recent years a greater weight is placed on the initial expected loss ratio, while for more mature years a greater weight is placed on the loss development patterns.

***Benktander: Credible claims reserves***

The Benktander method is similar to the Bornhuetter-Ferguson but replaces the initial loss ratio used within the BF method with the loss estimate from the BF method. The credibility factor is increased as claims develop. It gives more weight to:

- Emerged losses than the BF; and
- Initial expected loss ratio rather than the chain ladder.

***Catastrophe and large losses***

The Group writes insurance and reinsurance contracts that have exposure to natural and man-made catastrophes. The magnitude and complexity of losses associated with these events increases the level of uncertainty and the extent of management judgment required to arrive at the estimate of reserves for losses and loss adjustment expenses. The estimates of reserves related to catastrophe and large losses can be affected by factors including: (i) the inability to access portions of impacted areas, (ii) infrastructure disruptions, (iii) legal and regulatory uncertainties (iv) complexities involved in estimating business interruption losses and additional living expenses (v) the impact of demand surge and fraud (vi) for hurricanes, determining whether damage was caused by flood or wind, and (vii) the limited nature of information available, especially for events that occur near the end of a reporting period. As a result, actual losses may differ materially from current estimates.

To estimate reserves for catastrophe and large losses, the Group conducts a detailed review of policies that have known or potential exposure to specific loss events. This estimation process is carried out on a contract-by-contract basis and can incorporate: (i) data provided by cedants, brokers and other relevant specialists (ii) industry loss estimates and the Group's estimated market share (iii) exposure data obtained during the underwriting process (iv) outputs from catastrophe and probabilistic models (v) the terms and conditions of the contracts involved, and (vi) expected loss ratios.

Initial reserve estimates are established in the period when a catastrophe event occurs. These estimates are then reviewed and adjusted each subsequent quarter, considering the current information available.

***Salvage***

Salvage is recorded based on estimated realizable value and is deducted from the reserve for losses and loss adjustment expenses.

***Unallocated claims adjustments expenses***

The Group estimates reserves for unallocated claims adjustment expenses ("ULAE") based on a percentage of loss reserves as determined by management. However, this may be overridden in exceptional circumstances where this approach is not deemed appropriate. There were no material changes made to the Group's methodology for calculating reserves for unallocated claims adjustment expenses for the year ended December 31, 2024.

***Governance***

It is the responsibility of the actuarial function to apply the relevant actuarial methodologies and judgements to the calculation of loss reserves. The Group Actuary presents the recommendations of the actuarial review of the reserves to the FIHL Reserving Committee for review, challenge and recommendation, the results of which are included in the Group Actuary's Reserving Report for approval by the Board of Directors.

The reserve estimates contain an inherent level of uncertainty and actual results may vary, potentially significantly, from the estimates the Group has made. Reserves are reviewed on a quarterly basis and estimates are adjusted to reflect emerging claims experience.

***Segments***

Prior to 2024, we reported our results across three operating segments (Specialty, Bespoke and Reinsurance), organized on the basis of insurance and reinsurance lines of business. In 2024, our chief operating decision maker's view of the business, how resources are allocated, and performance is assessed was amended so that the Bespoke segment was incorporated into the Specialty segment. The Bespoke segment comprised a portfolio of customized risk solutions for clients, including Credit & Political Risk and other risk transfer opportunities. The Specialty segment was subsequently renamed as the Insurance segment. The prior years' presentation has been reclassified to conform to the new structure. The Group's disclosure of the incurred and paid loss development tables by accident year has been amended to reflect the current presentation of reportable segments.

The following table presents a reconciliation of unpaid losses and loss adjustment expenses for the twelve months ended December 31, 2024 and December 31, 2023:

| | December 31, 2024 | December 31, 2023 |
|---|---|---|
| Reserves for losses and loss adjustment expenses, beginning of year | $ 1,701.8 | $ 1,628.6 |
| Reinsurance recoverable on reserves for losses and loss adjustment expenses | (695.9) | (725.3) |
| **Net reserves for losses and loss adjustment expenses, beginning of year** | **1,005.9** | **903.3** |
| Net losses and loss adjustment expenses incurred in respect of losses occurring in: | | |
| Current year | 721.7 | 526.2 |
| Prior years | 183.9 | (73.5) |
| **Total incurred** | **905.6** | **452.7** |
| Net losses and loss adjustment expenses paid in respect of losses occurring in: | | |
| Current year | (129.2) | (92.0) |
| Prior years | (289.1) | (273.7) |
| **Total paid** | **(418.3)** | **(365.7)** |
| Foreign exchange | (17.9) | 15.6 |
| Net reserves for losses and loss adjustment expenses, end of year | 1,475.3 | 1,005.9 |
| Reinsurance recoverable on reserves for losses and loss adjustment expenses | 716.8 | 695.9 |
| **Reserves for losses and loss adjustment expenses, end of year** | **$ 2,192.1** | **$ 1,701.8** |

As a result of the changes in estimates of insured events in prior years, the reserves for losses and loss adjustment expenses net of reinsurance recoveries increased by $183.9 million for the year ended December 31, 2024 (2023: $73.5 million decrease).

Net adverse development for the year ended December 31, 2024 resulted from net adverse development in the Insurance segment, partially offset by better than expected loss development in the Reinsurance segment.

The adverse development in the Insurance segment of $241.0 million was driven primarily by an increase in our Aviation and Aerospace line of business related to the Ukraine Conflict, partially offset by better than expected loss emergence in our Property, Other Insurance and Marine lines of business. This increase relates to recent settlements entered into by the Group in relation to the related litigation as well as an increase to reserves in order to reflect recent developments and new information received. The favorable development in the Reinsurance segment of $57.1 million was driven by benign prior year attritional experience and positive development on catastrophe losses.

Net favorable development for the year ended December 31, 2023, resulted from better than expected loss development in the Reinsurance segment related primarily to loss reductions from Hurricane Ian as well as favorable attritional experience driven by benign claim experience on prior year accidents.

***a. Incurred and paid loss development tables by accident year***

The Group's loss reserve analysis is based primarily on underwriting year data. The preparation of the below accident year development tables required an allocation of underwriting year data to the corresponding accident year.

Allocations are performed using accident year loss payment and reporting patterns, which are derived from Group specific loss data. Ultimate reserves are allocated based on reserve movement splits between prior and current year and reflects the movement in earned premium by underwriting year.

The following tables present the Group's total losses and loss adjustment expenses incurred, net of reinsurance and paid losses and loss adjustment expenses by accident year, net of reinsurance. The information has been provided separately for the Insurance and Reinsurance segments.

The reporting of cumulative claims frequency has been deemed to be impracticable as the information necessary to provide meaningful cumulative claims frequency is not available to the Group. Within the Reinsurance segment, the underlying claim count data is not provided for most reinsurance contracts written on a quota share basis, and for certain excess of loss contracts. With respect to the Insurance segment, certain MGAs and brokers report loss data on an aggregate basis. In determining our reserves for losses and loss adjustment expenses, the Group does not generally use claims frequency information as an input to the actuarial methods described in Note 2, Significant Accounting Policies.

## Insurance

**Incurred losses and loss adjustment expenses – net of reinsurance**

| Accident Year | 2015 | 2016 | 2017 | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | Total of IBNR plus expected development on reported losses |
|---|---|---|---|---|---|---|---|---|---|---|---|
| | <---------- Unaudited ----------> | | | | | | | | | | |
| 2015 | $ 2.6 | $ 1.3 | $ 1.2 | $ 0.1 | $ 0.1 | $ 0.1 | $ 0.1 | $ — | $ — | $ — | $ — |
| 2016 | | 14.0 | 8.0 | 5.7 | 4.8 | 3.9 | 3.1 | 2.7 | 2.6 | 2.5 | 0.1 |
| 2017 | | | 16.2 | 12.0 | 9.3 | 7.4 | 7.3 | 6.4 | 6.0 | 6.2 | 0.2 |
| 2018 | | | | 25.4 | 24.2 | 18.8 | 16.9 | 15.3 | 11.5 | 10.7 | (5.2) |
| 2019 | | | | | 40.9 | 30.8 | 38.4 | 38.1 | 47.0 | 40.4 | 1.2 |
| 2020 | | | | | | 100.3 | 79.1 | 75.5 | 72.3 | 71.3 | (16.2) |
| 2021 | | | | | | | 180.2 | 160.9 | 169.4 | 153.5 | 3.8 |
| 2022 | | | | | | | | 486.2 | 473.4 | 844.9 | 500.4 |
| 2023 | | | | | | | | | 427.8 | 321.5 | 59.8 |
| 2024 | | | | | | | | | | 602.6 | 354.4 |
| **Total** | | | | | | | | | | **$ 2,053.6** | **$ 898.5** |

**Cumulative paid losses and loss adjustment expenses, net of reinsurance**

| Accident Year | 2015 | 2016 | 2017 | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 |
|---|---|---|---|---|---|---|---|---|---|---|
| | <---------- Unaudited ----------> | | | | | | | | | |
| 2015 | $ — | $ — | $ — | $ — | $ — | $ — | $ — | $ — | $ — | $ — |
| 2016 | | — | 2.2 | 2.6 | 2.7 | 2.8 | 2.5 | 2.4 | 2.4 | 2.4 |
| 2017 | | | — | 1.9 | 2.8 | 4.2 | 5.2 | 4.9 | 4.8 | 5.0 |
| 2018 | | | | 0.2 | 3.0 | 6.9 | 10.9 | 10.8 | 12.8 | 13.8 |
| 2019 | | | | | 3.5 | 16.2 | 14.2 | 22.1 | 28.7 | 33.8 |
| 2020 | | | | | | 12.6 | 98.1 | 92.2 | 81.1 | 79.7 |
| 2021 | | | | | | | 26.5 | 73.5 | 111.2 | 125.7 |
| 2022 | | | | | | | | 42.8 | 144.9 | 283.4 |
| 2023 | | | | | | | | | 68.2 | 173.7 |
| 2024 | | | | | | | | | | 97.9 |
| | | | | | | | | | | |
| Total | | | | | | | | | | 815.4 |
| Reserve FX | | | | | | | | | | (6.8) |
| ULAE | | | | | | | | | | 10.3 |
| **Liabilities for losses and loss adjustment expenses, net of reinsurance** | | | | | | | | | | **$ 1,241.7** |

## Reinsurance

**Incurred losses and loss adjustment expenses – net of reinsurance**

| Accident Year | 2015 | 2016 | 2017 | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | Total of IBNR plus expected development on reported losses |
|---|---|---|---|---|---|---|---|---|---|---|---|
| | <---------- Unaudited ----------> | | | | | | | | | | |
| 2015 | $ 8.8 | $ 7.1 | $ 7.0 | $ 2.8 | $ 2.8 | $ 2.8 | $ 2.8 | $ 2.8 | $ 2.8 | $ 2.7 | $ — |
| 2016 | | 70.3 | 56.9 | 51.0 | 46.5 | 42.8 | 38.8 | 38.6 | 30.6 | 30.7 | — |
| 2017 | | | 86.9 | 58.8 | 51.8 | 55.6 | 53.1 | 55.5 | 50.8 | 47.4 | 6.0 |
| 2018 | | | | 77.8 | 86.5 | 88.7 | 87.6 | 80.3 | 64.6 | 61.0 | (0.3) |
| 2019 | | | | | 43.1 | 46.4 | 45.5 | 46.6 | 37.7 | 35.9 | 2.0 |
| 2020 | | | | | | 168.7 | 203.6 | 219.0 | 214.6 | 217.7 | 19.1 |
| 2021 | | | | | | | 323.9 | 354.7 | 351.4 | 337.4 | 26.4 |
| 2022 | | | | | | | | 153.4 | 132.9 | 130.9 | 21.7 |
| 2023 | | | | | | | | | 84.4 | 49.0 | 4.9 |
| 2024 | | | | | | | | | | 119.1 | 68.8 |
| **Total** | | | | | | | | | | **$ 1,031.8** | **$ 148.6** |

**Cumulative paid losses and loss adjustment expenses, net of reinsurance**

| Accident Year | 2015 | 2016 | 2017 | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 |
|---|---|---|---|---|---|---|---|---|---|---|
| | <---------- Unaudited ----------> | | | | | | | | | |
| 2015 | $ — | $ 0.4 | $ 2.7 | $ 2.8 | $ 2.7 | $ 2.7 | $ 2.7 | $ 2.7 | $ 2.7 | $ 2.7 |
| 2016 | | 2.0 | 9.3 | 18.2 | 19.4 | 19.6 | 20.2 | 20.4 | 20.6 | 30.7 |
| 2017 | | | 27.6 | 45.0 | 47.0 | 52.2 | 52.7 | 35.0 | 38.2 | 38.7 |
| 2018 | | | | 23.3 | 17.7 | 40.1 | 51.9 | 64.6 | 60.8 | 59.9 |
| 2019 | | | | | 3.0 | 35.2 | 35.8 | 34.5 | 32.9 | 32.6 |
| 2020 | | | | | | 49.4 | 125.4 | 154.9 | 175.8 | 180.6 |
| 2021 | | | | | | | 145.1 | 269.3 | 327.2 | 310.5 |
| 2022 | | | | | | | | 18.8 | 68.5 | 81.3 |
| 2023 | | | | | | | | | 21.6 | 37.0 |
| 2024 | | | | | | | | | | 31.3 |
| | | | | | | | | | | |
| | | | | | | | | | | 805.3 |
| Reserve FX | | | | | | | | | | 1.6 |
| ULAE | | | | | | | | | | 5.5 |
| **Liabilities for losses and loss adjustment expenses, net of reinsurance** | | | | | | | | | | **$ 233.6** |

### *b. Reconciliation of loss development information to the reserves for losses and loss adjustment expenses*

The table below reconciles the loss development information to the Group's reserves for losses and loss adjustment expenses at December 31, 2024 and 2023:

| | 2024 | 2023 |
|---|---|---|
| Reserves for losses and loss adjustment expenses, net of reinsurance | | |
| Insurance | $ 1,231.4 | $ 757.1 |
| Reinsurance | 228.1 | 235.4 |
| Total reserves for losses and loss adjustment expenses, net of reinsurance | **1,459.5** | **992.5** |
| Reinsurance recoverable on reserves for losses and loss adjustment expenses | | |
| Insurance | $ 381.6 | 221.2 |
| Reinsurance | 335.2 | 474.7 |
| Total reinsurance recoverable on reserves for losses and loss adjustment expenses | **716.8** | **695.9** |
| Unallocated loss adjustment expenses | 15.8 | 13.4 |
| Total gross reserves for losses and loss adjustment expenses | **$ 2,192.1** | **$ 1,701.8** |

### *c. Historical loss duration*

The Group was incorporated on August 22, 2014 and commenced underwriting in 2015. As a result, the Group has limited historical data and is unable to present a full cycle of loss payments beyond year six for the Insurance and Reinsurance segments as movements beyond this time horizon are not meaningful and may be misleading to the users of the financial statements.

The following table presents the Group's historical average annual percentage payout of losses and loss adjustment expenses incurred, net of reinsurance by age at December 31, 2024:

| | Year 1 | Year 2 | Year 3 | Year 4 | Year 5 | Year 6 |
|---|---|---|---|---|---|---|
| | <---------- Unaudited ----------> | | | | | |
| Insurance | 12 % | 21 % | 17 % | 14 % | 12 % | 11 % |
| Reinsurance | 29 % | 35 % | 16 % | 3 % | 4 % | 1 % |

## 8. Reinsurance and Retrocessional Reinsurance

The Group uses reinsurance and retrocessional reinsurance from time to time to manage its net retention on individual risks as well as overall exposure to losses while providing it with the ability to offer policies with sufficient limits to meet policyholder needs. In a reinsurance transaction, an insurance company transfers, or cedes, all or part of its exposure in return for a portion of the premium. In a retrocessional reinsurance transaction, a reinsurance company transfers, or cedes, all or part of its exposure in return for a portion of the premium. The ceding of insurance does not legally discharge the Group from its primary liability for the full amount of the policies, and the Group will be required to pay the loss and bear collection risk if the reinsurer fails to meet its obligations under the reinsurance or retrocessional agreement.

The following tables provide a breakdown of the Group's written and earned premiums and losses and loss adjustment expenses from direct business, reinsurance assumed, and reinsurance ceded for the years ended December 31, 2024 and 2023:

| | 2024 | 2023 |
|---|---|---|
| **Written premiums** | | |
| Direct | $ 926.3 | $ 820.7 |
| Assumed | 1,829.8 | 1,389.8 |
| Gross premiums written | **2,756.1** | **2,210.5** |
| Ceded | (1,030.2) | (688.6) |
| Net premiums written | **$ 1,725.9** | **$ 1,521.9** |

| | 2024 | 2023 |
|---|---|---|
| **Premiums earned** | | |
| Direct | $ 775.8 | $ 634.8 |
| Assumed | 1,641.9 | 1,276.1 |
| Gross premiums earned | **2,417.7** | **1,910.9** |
| Ceded | (831.4) | (604.4) |
| Net premiums earned | **$ 1,586.3** | **$ 1,306.5** |

| | 2024 | 2023 |
|---|---|---|
| **Loss and loss adjustment expense** | | |
| Direct | $ 752.4 | $ 256.5 |
| Assumed | 447.7 | 433.0 |
| Loss and loss adjustment expense incurred | **1,200.1** | **689.5** |
| Ceded | (294.5) | (236.8) |
| Loss and loss adjustment expense incurred, net | **$ 905.6** | **$ 452.7** |

The Group is exposed to the credit risk of the reinsurers, including the risk that one of its reinsurers becomes insolvent or otherwise unable or unwilling to pay policyholder claims. This credit risk is generally mitigated by either selecting well capitalized, highly rated authorized capacity providers or requiring that the capacity provider post collateral to secure the reinsured risks, which, in some instances, exceeds the related reinsurance recoverable. Allowances are established for amounts deemed uncollectible.

The Group evaluates the financial condition of its reinsurers on a regular basis and monitors concentrations of credit risk with reinsurers. At December 31, 2024, the reinsurance balance recoverable on reserves for losses and loss adjustment expenses was $716.8 million (December 31, 2023: $695.9 million) and the reinsurance balance recoverable on paid losses was $87.5 million (December 31, 2023: $74.9 million). In evaluating the allowance for expected credit losses, the Group assesses the probability of default and loss given default for each reinsurer. This uses counterparty ratings from a major rating agency and an assessment of the current market conditions for the likelihood of default. Although the Group has not experienced any credit losses to date, an inability of its reinsurers or retrocessionaires to meet their obligations to it over the relevant exposure periods for any reason could have a

material adverse effect on its financial condition and results of operations. Of the Group's reinsurance balances recoverable on paid losses and on reserves for losses and loss adjustment expenses at December 31, 2024, 83.5% is recoverable from reinsurers rated A- or higher by major rating agencies, 11.9% is collateralized by our reinsurers, and 4.6% is recoverable from reinsurers rated lower than A- by major rating agencies (December 31, 2023: 76.7%, 9.8% and 13.5%, respectively).

The allowance for expected credit losses of the Group's reinsurance recoverables on paid losses and on reserves for losses and loss adjustment expenses was $0.1 million and $0.6 million at December 31, 2024, respectively (December 31, 2023: $nil and $1.1 million).

The following table provides a roll forward of the allowance for expected credit losses of the Group's reinsurance balances recoverable on paid losses and reserves for losses and loss adjustment expenses:

| | December 31, 2024 | December 31, 2023 |
|---|---|---|
| Balance at the beginning of the year | $ 1.1 | $ 1.0 |
| Change for provision of expected credit losses | (0.4) | 0.1 |
| **Balance at the end of the year** | **$ 0.7** | **$ 1.1** |

The Group is also exposed to credit risk with respect to its premiums and other receivables. The following table provides a roll forward of the allowance for expected credit losses of the Group's premiums and other receivables:

| | December 31, 2024 | December 31, 2023 |
|---|---|---|
| Balance at the beginning of the year | $ 5.2 | $ 1.4 |
| Change for provision of expected credit losses | (2.0) | 3.8 |
| **Balance at the end of the year** | **$ 3.2** | **$ 5.2** |

***Intercompany Retrocessional Reinsurance Arrangements***

The Group has entered into various internal quota share and excess of loss retrocession agreements through which FUL and FIID cedes some of its business to FIBL each year.

## 9. Commitments and Contingencies

### *a. Letter of credit facilities*

At December 31, 2024 and 2023, the Group had the following letter of credit facilities:

| | December 31, 2024 | | | December 31, 2023 | | |
|---|---|---|---|---|---|---|
| **Bank** | **Commitment** | **In Use** | **Date of Expiry** | **Commitment** | **In Use** | **Date of Expiry** |
| **Lloyds Bank plc[2]** | | | | | | |
| Unsecured [1] | $ 25.0 | $ 18.1 | September 21, 2025 | $ 25.0 | $ 18.4 | September 20, 2024 |
| Secured [1] | 100.0 | 46.7 | September 21, 2025 | 100.0 | 22.1 | September 20, 2024 |
| Ancillary own funds | n/a | n/a | March 13, 2027 | 75.0 | — | March 13, 2027 |
| **Total Lloyds Bank Plc** | 125.0 | 64.8 | | 200.0 | 40.5 | |
| **Citibank NA London branch[1][2]** | | | | | | |
| Secured | 70.0 | 42.9 | December 31, 2025 | 70.0 | 52.3 | December 31, 2024 |
| **Total Citibank NA London branch** | 70.0 | 42.9 | | 70.0 | 52.3 | |
| **Barclays Bank plc[1][2]** | | | | | | |
| Unsecured | 60.0 | 44.5 | September 13, 2025 | 60.0 | 43.3 | September 13, 2024 |
| Secured | 80.0 | 31.0 | September 13, 2025 | 80.0 | 31.0 | September 13, 2024 |
| **Total Barclays Bank plc** | 140.0 | 75.5 | | 140.0 | 74.3 | |
| **Bank of Montreal[1][2]** | | | | | | |
| Unsecured | 40.0 | 28.4 | September 18, 2025 | 40.0 | 33.9 | September 17, 2024 |
| Secured | 100.0 | 41.2 | September 18, 2025 | 100.0 | 32.1 | September 17, 2024 |
| **Total Bank of Montreal** | 140.0 | 69.6 | | 140.0 | 66.0 | |
| **Total letters of credit facilities** | **$ 475.0** | **$ 252.8** | | **$ 550.0** | **$ 233.1** | |

(1) Letters of credit can be issued under the Standby Letter of Credit Facilities for the purposes of supporting insurance and reinsurance obligations.
(2) The Facility agreements allow for additional capacity in the form of accordions and uncommitted amounts. The maximum additional capacity at the lenders as of December 31, 2024 was: Lloyds Bank plc $50.0 million; Citibank NA London Branch $200.0 million; Barclays Bank plc $80.0 million; and Bank of Montreal $60.0 million.

The following table shows the collateral underlying the secured letter of credit facilities:

| **Bank** | **December 31, 2024** | **December 31, 2023** |
|---|---|---|
| Lloyds Bank plc | $ 55.6 | $ 25.5 |
| Citibank N.A. London branch | 46.9 | 55.2 |
| Barclays Bank plc | 39.5 | 37.7 |
| Bank of Montreal | 46.2 | 35.9 |
| **Total** | **$ 188.2** | **$ 154.3** |

The Group's letter of credit facilities are generally bilateral agreements with a one or two year term. The letters of credit issued under the secured letter of credit facilities are fully collateralized. All the above facilities are subject to various affirmative, negative and financial covenants that the Group considers to be customary for such borrowings including certain minimum net worth and maximum debt to capitalization standards.

The Group also entered into a Standby Letter of Credit Facility Agreement with Lloyds Bank plc to provide related capital in respect of Ancillary Own Funds ("AOF") for FUL. On August 6, 2024, the Prudential Regulation Authority granted approval such that the AOF expiry date could be amended to August 30, 2024. Following receipt of this approval, the AOF facility was canceled effective August 30, 2024.

### *b. Legal proceeding*

From time to time in the normal course of business, the Group may be involved in formal and informal dispute resolution procedures, which may include arbitration or litigation, the outcomes of which determine the rights and obligations of the Group under the

Group's (re)insurance contracts, and other contractual agreements, or other matters as the case may be. In some disputes, the Group may seek to enforce its rights under an agreement or to collect funds owing to it. In other matters, the Group may resist attempts by others to collect funds or enforce alleged rights. While the final outcome of legal disputes that may arise cannot be predicted with certainty, the Group does not believe that the eventual outcome of any specific litigation, arbitration or alternative dispute resolution proceedings to which the Group is currently a party will have a material adverse effect on the financial condition of the Group's business as a whole after consideration of any applicable reserves.

***c. Concentration of credit risk***

Credit risk arises out of the failure of a counterparty to perform according to the terms of the contract. The Group underwrites a significant portion of its (re)insurance business through brokers and as a result credit risk exists should any of these brokers be unable to fulfil their contractual obligations with respect to the payments of premium or failure to pass on claims, if there is risk transfer, to the Group.

The Group has policies and standards in place to manage and monitor the credit risk of intermediaries with a focus on day-to-day monitoring of the largest positions. Note 8 (Reinsurance and Retrocessional Reinsurance) describes the credit risk related to the Group's reinsurance recoverables.

The following table sets forth the Group's premiums written by source that individually contributed more than 10% of total gross premiums written for the years ended December 31, 2024 and 2023:

| | 2024 | 2023 |
|---|---|---|
| Aon plc | 18 % | 17 % |
| Marsh & McLennan Companies Inc | 17 % | 15 % |

No other broker or other (re)insurance intermediary individually accounted for more than 10% of GPW in respect of the fiscal years 2024 and 2023.

***d. Lease commitments***

The Group's leases primarily consist of operating leases for its offices in Bermuda and in the Republic of Ireland. During 2023, the Group entered into a new lease in Bermuda.

Total expected lease payments are based on the lease payments specified in the contract and the stated term, including any options to extend or terminate that are reasonably certain to be exercised.

The Group's operating leases have remaining lease terms of up to 3.5 years, some of which include options to extend the lease term. The Group considers these options when determining the lease term and measuring its lease liability and right-of-use asset. In addition, the Group's lease agreements do not contain any material residual value guarantees or material restrictive covenants. Short-term operating leases with an initial term of twelve months or less were excluded from the Group's Consolidated Balance Sheet and represent an inconsequential amount of operating lease expense. These were entered into for the use of various office fixtures such as photocopiers and other IT equipment.

As most leases do not provide an implicit rate, the Group uses its incremental borrowing rate based on the information available at the lease commencement date in determining the present value of lease payments.

During the year ended December 31, 2024, the Group recognized operating lease expense of $0.5 million (2023: $0.8 million). The cash outflows resulting from the operating leases amounted to $0.7 million (2023: $0.9 million).

The following table presents the Group's operating lease right-of-use assets and lease liabilities:

| | December 31, 2024 | December 31, 2023 |
|---|---|---|
| Operating lease right-of-use assets [1] | $ 1.8 | $ 2.2 |
| Operating lease liabilities [2] | $ 1.8 | $ 2.2 |
| | | |
| Weighted-average remaining lease term (years) | 3.2 | 4.2 |
| Weighted-average discount rate | 10.9 % | 10.9 % |

(1) Operating lease right-of-use assets are included in other assets
(2) Operating lease liabilities are included in other liabilities

Future minimum lease commitments at December 31, 2024 under these leases are expected to be as follows:

| | Future Payments |
|---|---|
| 2025 | $ 0.7 |
| 2026 | 0.7 |
| 2027 | 0.5 |
| 2028 | 0.3 |
| Total future annual minimum lease payments | 2.2 |
| Less: present value discount | (0.4) |
| **Total lease liability at December 31, 2024** | **$ 1.8** |

## 10. Related Party Transactions

On January 3, 2023, The Fidelis Partnership acquired 9.9% of the common shares of FIHL. Certain directors, senior managers and management of The Fidelis Partnership also own common shares of FIHL.

On December 20, 2022, FIBL and FIID entered into a rolling 10-year framework agreement with The Fidelis Partnership (the "Framework Agreement"), effective January 1, 2023, that governs the ongoing relationship between the two groups. Years one to three roll automatically, whereas from year four onwards, the Framework Agreement will roll at the sole written election of the Group, with such election to be delivered at least 90 days prior to the commencement of the subsequent contract year. Any decision by the Group to elect not to roll the Framework Agreement will mean that the remainder of the 10-year terms then in effect will continue in place.

The underwriting activities of FIBL and FIID have been outsourced to the corresponding operating subsidiaries of The Fidelis Partnership on a jurisdictional basis. Each of FIBL and FIID have delegated underwriting authority to source and bind contracts to Shelf Opco Bermuda Limited, Pine Walk and Pine Walk Europe, respectively. The Fidelis Partnership manages origination, underwriting, underwriting administration and claims handling under delegated authority agreements with the Group. Other services provided by The Fidelis Partnership to the Group include sourcing and administering the outwards reinsurance program, and support with business planning, capital management, insurance contract accounting and information technology. The Framework Agreement provides for the payment of the following fees with effect from January 1, 2023:

a. Ceding commissions: (i) a ceding commission of 11.5% of net premiums written of open market business procured by The Fidelis Partnership on or after January 1, 2023; (ii) a ceding commission of 3.0% of net premiums written of business sourced by The Fidelis Partnership via third party managing general underwriters on or after January 1, 2023; and (iii) a portfolio management fee of 3.0% of net premiums written of the business sourced by The Fidelis Partnership.

b. Profit commission: a profit commission of 20.0% of the aggregate operating profit (defined as underwriting income on business written by The Fidelis Partnership, subject to certain parameters for the allocation of general and administrative expenses, financing costs and other items, and excluding investment income), subject to a hurdle rate of return of 5.0% of underwriting return on equity.

For insurance contracts sourced by Pine Walk MGAs for FIBL or FIID, the fees and commissions follow separately negotiated arrangements and will not attract additional commissions under the terms of the Framework Agreement other than the portfolio management fee of 3.0%.

The following table summarizes The Fidelis Partnership commissions earned, which are included in policy acquisition expenses in the Consolidated Statements of Income:

| | 2024 | 2023 |
|---|---|---|
| Ceding commission expense | $ 125.6 | $ 72.2 |
| Profit commission expense | — | 46.4 |
| Total commissions | **$ 125.6** | **$ 118.6** |

Amounts receivable from The Fidelis Partnership at December 31, 2024 of $68.6 million (December 31, 2023: $50.5 million) primarily consist of amounts collected by The Fidelis Partnership on behalf of the Group that were not remitted prior to the end of the year. Amounts payable to The Fidelis Partnership at December 31, 2024 of $175.5 million (December 31, 2023: $148.2 million) primarily consist of amounts payable to The Fidelis Partnership for ceding and profit commissions, and claims paid by The Fidelis Partnership on the Group's behalf.

The Framework Agreement also provides that from January 1, 2023, in respect of commissions and profit commissions on ceded quota share business the Group shall retain 1.0% of reinsurance premiums ceded and the remainder is to be paid to The Fidelis Partnership. Commissions on ceded business for the year ended December 31, 2024 of $57.2 million (2023: $33.3 million) were paid

to The Fidelis Partnership. For the year ended December 31, 2024 profit commissions of $51.0 million (2023: $22.1 million) were paid to The Fidelis Partnership.

Insurance contracts sourced by Pine Walk contain profit commissions based on the results of each individual contract. The expense for the year ended December 31, 2024 was $(0.1) million (2023: $(1.1) million) and was included within policy acquisition expenses.

The Fidelis Partnership provides the Group with certain support services on a cost-plus basis, such as support with business planning, insurance contract accounting and information technology. Included within general and administrative expenses is a net charge of $2.6 million for the year ended December 31, 2024 (2023: $1.5 million) for these services.

The Company has a quota share intragroup reinsurance arrangement with FUL, under which FUL cedes approximately 50% of net premiums retained after third party cessions to the Company. For the year ended December 31, 2024, FUL ceded reinsurance premiums of $683.6 million (2023: $608.4 million), of which $671.9 million was earned in the year (2023: $538.6 million) and ceded losses and loss adjustment expenses of $233.5 million (2023: $264.6 million) to the Company. At December 31, 2024, the Consolidated Balance Sheets includes a net receivable for intergroup reinsurance of $199.9 million (2023: $6.7 million net payable), $292.8 million (2023: $250.9 million million) of deferred policy acquisition costs, $401.0 million (2023: $351.7 million) of reserves for losses and loss adjustment expenses and $629.2 million (2023: $617.5 million) of unearned premiums.

During the year, the Group received income for services provided to companies under common control. Fees received for these services were $3.7 million (2023: $4.0 million). The amount due from affiliates at December 31, 2024 is $116.0 million (2023: $116.8 million).

During the year, the Group incurred expenses for services received from companies under common control. Fees incurred for these services were $20.7 million (2023: $19.9 million) and are included in general and administrative expenses on the Consolidated Statements of Income. The amount due to affiliates at December 31, 2024 is $100.3 million (2023: $75.1 million).

In addition to FIBL's participation in Syndicate 3123 as discussed in Note 1, FIBL also entered into a variable quota share of certain lines of business underwritten by Syndicate 3123. Balances receivable from Syndicate 3123 at December 31, 2024 is $35.0 million and is included in premiums and other receivables.

Related party balances are due on demand and carry no interest.

During 2019, the Group made interest free loans to management of $4.5 million which were recorded within additional paid-in capital in the Consolidated Balance Sheets. At December 31, 2023 there was no outstanding balance as these loans were fully repaid in January 2023 as part of the Separation Transactions.

During 2024, distributions of $200.0m from FIBL to FIHL were approved by the Board. Of this amount, $50.0m is payable as of December 31, 2024 and is included in other liabilities.

## 11. Statutory Requirements and Dividend Restrictions

The Group's ability to pay dividends is subject to certain regulatory restrictions on the payment of dividends by its subsidiaries. The payment of such dividends is limited by applicable laws and statutory requirements of the jurisdictions in which the Group and its subsidiaries operate, detailed further below. The minimum required statutory capital and surplus is the amount of statutory capital and surplus necessary to satisfy regulatory requirements based on the Group's current operations.

The estimated statutory capital and surplus and minimum required statutory capital and surplus for the Group's regulatory jurisdictions is as follows:

| | December 31, 2024 | |
|---|---|---|
| | Bermuda [1] | Republic of Ireland[2] |
| Required statutory capital and surplus | $ 910.0 | $ 105.0 |
| Actual statutory capital and surplus | 1,835.0 | 175.0 |

| | December 31, 2023 | |
|---|---|---|
| | Bermuda [1] | Republic of Ireland[2] |
| Required statutory capital and surplus | $ 735.0 | $ 95.0 |
| Actual statutory capital and surplus | 1,915.0 | 180.0 |

(1) Required statutory capital and surplus represents the Enhanced Capital Requirement ("ECR").
(2) Required statutory capital and surplus represents the Solvency II Solvency Capital Requirement ("SCR").

Statutory net income/(loss) of the Group's regulated insurance operations are detailed below:

| Statutory Net Income/(Loss) | Bermuda | Republic of Ireland |
|---|---|---|
| Year ended December 31, 2024 | $ 67.3 | $ (8.2) |
| Year ended December 31, 2023 | 345.2 | 19.3 |

For the Group, significant differences between statutory financial statements and statements prepared in accordance with U.S. GAAP are: (i) the statutory financial statements of FIBL include a liability of $34.9 million for a letter of credit encumbering assets in relation to FUL's business which is not ceded to the Company via the intragroup quota share reinsurance arrangement; and (ii) at December 31, 2023, the BMA required the exclusion of the net deferred tax asset of $90.0 million in connection with the implementation of the Bermuda corporate income tax (Note 12, Income Taxes) from FIBL's statutory financial statements. The BMA revised the requirements so that the net deferred tax asset is admitted in the statutory financial statements at December 31, 2024.

There were no prescribed or permitted regulatory accounting practices for any of the Company's insurance or reinsurance entities that resulted in reported statutory surplus that differed from that which would have been reported under the prescribed practices of the respective regulatory authorities

***Bermuda operations***

Under the Insurance Act 1978, amendments thereto and Related Regulations of Bermuda (the Insurance Act), FIBL is required to prepare and submit annual audited GAAP financial statements and statutory financial statements and to file with the Bermuda Monetary Authority ("BMA") a statutory financial return ("SFR"), capital and solvency return ("CSR") and audited GAAP financial statements. The BMA acts as group supervisor of FIHL and has designated FIBL as the 'designated insurer'. In accordance with the Group supervision and insurance group solvency rules, FIHL is required to prepare and submit audited Group GAAP financial statements, a Group SFR, a Group CSR and a Group Quarterly Financial Return ("QFR").

As a Class 4 (re)insurer, FIBL is required to maintain available statutory economic capital and surplus at a level equal to or greater than the ECR. The ECR is the higher of the prescribed minimum solvency margin ("MSM") or the required capital calculated by reference to the Bermuda Solvency Capital Requirement ("BSCR") model. The BSCR model is a risk-based capital model that provides a method for determining a (re)insurer's capital requirements (statutory capital and surplus) by taking into account the risk characteristics of different aspects of the (re)insurer's business. In addition, the Group is required to maintain available statutory economic capital and surplus at a level equal to or in excess of the group ECR which is established by reference to the Group BSCR model.

Under the Insurance Act, FIBL is restricted from payment of dividends for amounts greater than 25% of the prior year's statutory capital and surplus, or 15% of the prior year's statutory capital without seeking prior approval from the BMA by submitting an affidavit stating that the proposed reduction of capital will not cause the insurer to fail to meet its relevant solvency and liquidity margins. At December 31, 2024 the maximum dividend FIBL can pay without approval from the BMA, having met minimum levels of statutory capital and surplus requirements, was approximately $441.0 million (December 31, 2023: $360.5 million).

***Ireland operations***

FIID is regulated by the Central Bank of Ireland ("CBI") and is also subject to the Solvency II regime which has been effective from January 1, 2016 and established a set of EU-wide capital requirements, risk management and disclosure standards. FIID is required to meet its SCR which is calibrated to seek to ensure a 99.5% confidence of the ability to meet obligations over a 12-month period. FIID calculates its SCR in accordance with the standard formula prescribed in the Solvency II regulations as the assumptions underlying the standard formula are not inappropriate for FIID's risk profile.

The regulatory requirements impose no explicit restrictions on FIID's ability to pay a dividend, however FIID must remain in compliance with its SCR following the payment of a dividend. Any proposed dividend payments must be notified to the CBI prior to being made. Under Irish law dividends may only be distributed from profits available for distribution, which consist of accumulated realized profits less accumulated realized losses.

## 12. Income Taxes

Income before income taxes is split between the Group's operating jurisdictions based on the jurisdiction of tax residence:

| | 2024 | 2023 |
|---|---|---|
| Bermuda | $ 67.1 | $ 341.3 |
| Republic of Ireland | (6.9) | 18.1 |
| United Kingdom | $ (0.6) | |
| **Total** | **$ 59.6** | **$ 359.4** |

**Bermuda**

Under current Bermuda law, FIBL is not required to pay any taxes in Bermuda on its income or capital gains. The impact of this is included within 'Impact of differences in tax rates' as set out in the reconciliation of the difference between the reported income tax benefit and expected income tax expense below. On December 27, 2023, the Government of Bermuda passed legislation enacting the Corporate Income Tax Act 2023, which applies a 15% corporate income tax to Bermuda businesses that are part of a multinational enterprise group with annual revenue of €750 million or more, effective on or after January 1, 2025. The Act also includes a provision for an economic transition adjustment ("ETA"), which intends to provide a fair and equitable transition into the tax regime through establishing a fair value tax basis in certain assets and liabilities and results in a deferred tax benefit for the Group of $90.0 million, which was recognised in 2023.

**Republic of Ireland**

FIID is tax resident in the Republic of Ireland. FIID is subject to Irish corporation tax on its trading profits at a rate of 12.5%.

The 2020 to 2023 tax years are open to examination in Ireland.

**United Kingdom**

On May 22, 2024, the Company established a Lloyd's corporate member, Nameco (No. 1404) Limited, a UK incorporated company, which commenced trading from 1 July 2024. Nameco (No. 1404) Limited, and the UK incorporated holding company of FIID, Fidelis European Holdings Limited (FEHL) are subject to UK corporation tax on its profit at a rate of 25%. The 2022 and 2023 tax years of FEHL are open to examination in the UK.

The Group income tax benefit for the years ended December 31, 2024 and 2023 was as follows:

| | 2024 | 2023 |
|---|---|---|
| Current tax benefit/(expense) | $ 0.1 | $ (1.3) |
| Deferred tax benefit (excluding rate change) | 0.9 | 90.2 |
| **Income tax benefit** | **$ 1.0** | **$ 88.9** |

| | 2024 | 2023 |
|---|---|---|
| Income tax benefit allocated to net income | $ 1.0 | $ 88.9 |
| Income tax expense allocated to other comprehensive income | (0.1) | (1.1) |
| **Total income tax benefit allocated to comprehensive income** | **$ 0.9** | **$ 87.8** |

| | 2024 | | | |
|---|---|---|---|---|
| | Income/(loss) before income taxes | Current tax benefit/(expense) | Deferred tax benefit/(expense) | Total income tax benefit/(expense) |
| Bermuda | $ 67.1 | $ — | $ — | $ — |
| Republic of Ireland | (6.9) | 0.1 | 0.8 | 0.9 |
| United Kingdom | (0.6) | — | 0.1 | 0.1 |
| **Total** | **$ 59.6** | **$ 0.1** | **$ 0.9** | **$ 1.0** |

| | 2023 | | | |
|---|---|---|---|---|
| | Income before income taxes | Current tax expense | Deferred tax benefit | Total income tax benefit/(expense) |
| Bermuda | $ 341.3 | $ — | $ 90.0 | $ 90.0 |
| Republic of Ireland | 18.1 | (1.3) | 0.2 | (1.1) |
| **Total** | **$ 359.4** | **$ (1.3)** | **$ 90.2** | **$ 88.9** |

The effective tax rate for the Group is (1.6)% (2023: (24.7)%).

A reconciliation of the difference between reported income tax benefit and the expected income tax benefit at the Irish statutory income tax rate for the years ended December 31, 2024, and 2023 is provided below. The expected income tax benefit has been calculated using income before income taxes multiplied by the Irish statutory income tax rate, as FIID is the principal taxpayer within the Group.

| | 2024 | 2023 |
|---|---|---|
| Expected income tax expense at the Irish tax rate of 12.5% (2023: 12.5%) | $ (7.5) | $ (44.9) |
| Reconciling items | | |
| Bermuda Economic Transition Adjustment | — | 90.0 |
| Impact of differences in tax rates | 8.5 | 43.1 |
| Adjustments in respect of prior year | — | 1.2 |
| Other income not subject to income taxes | — | (0.5) |
| **Income tax benefit** | **1.0** | **88.9** |

The components of the Group's net deferred tax asset at December 31, 2024 and 2023 are as follows:

| | 2024 | 2023 |
|---|---|---|
| **Deferred tax assets:** | | |
| Intangible assets | $ 104.4 | $ 104.4 |
| Net operating loss carryforwards | 1.1 | — |
| Other temporary differences | — | 0.2 |
| Reserves for losses and loss adjustment expenses | 9.1 | 9.1 |
| **Total deferred tax assets** | **114.6** | **113.7** |
| **Deferred tax liabilities:** | | |
| Deferred policy acquisition costs | (23.5) | (23.5) |
| **Total deferred tax liabilities** | **(23.5)** | **(23.5)** |
| **Net deferred tax asset** | **$ 91.1** | **$ 90.2** |

The operating loss carryforwards comprise $5.5 million (2023:$nil) arising in the Republic of Ireland. There is no expiry date for the losses. Pursuant to the 2023 enactment of the Bermuda corporate income tax and ETA, FIBL recorded a net deferred tax asset of $90.0 million. The ETA deferred tax asset is expected to be utilized over a fifteen year period, with 99% of the deferred tax asset utilized by December 31, 2034.

The Group has not recognized a deferred tax liability with respect to the undistributed earnings of FIID as neither withholding taxes nor other incomes taxes are expected to apply to any distributions from this entity.

The Group accrued interest payments totaling $nil during the years ended December 31, 2024 and 2023.

The following table presents a reconciliation of the beginning and ending amounts of unrecognized tax benefits:

| | 2024 | 2023 |
|---|---|---|
| **Balance, beginning of year** | $ 75.0 | $ — |
| Additions based on tax positions related to the current year | — | 75.0 |
| **Balance, end of year** | **$ 75.0** | **$ 75.0** |

Included in the balance of unrecognized tax benefits as of December 31, 2024 is $75.0 million (2023: $75.0 million) of tax benefits, that if recognized, would reduce the effective tax rate.

## 13. Subsequent Events

Subsequent events have been evaluated through April 29, 2025, the date the financial statements were issued.

**California Wildfires**

The Group expects its January 2025 California wildfires loss estimates to be in the range of $150 million to $180 million, net of expected recoveries, reinstatement premiums and tax, based on an insured industry loss estimate of $40 billion to $50 billion. The losses from these wildfires will be reflected in the 2025 consolidated financial statements.